

Why Institutions Matter for Labor Markets

Labor Markets and Political/Cultural Institutions — Week 1

Teaching deck draft

Central question

- What counts as a labor-market institution?
- Through which mechanisms do institutions shape labor allocation and inequality?
- How can labor economists study formal rules and informal norms without losing the labor object?

- The course starts from labor outcomes: wages, employment, informality, mobility, bargaining, sorting, and worker welfare.
- Institutions are not background context; they shape feasible contracts, enforcement, search, referrals, compliance, and political demand.
- The discipline: labor object, institutional channel, mechanism, evidence, and counterfactual.

Formal and informal institutions

Type	Examples	Labor-market relevance
Formal	law, contracts, regulation, unions, enforcement, state capacity	legal constraints, bargaining, incidence, compliance
Informal	culture, norms, trust, family ties, networks, hierarchy, status beliefs	search, mobility, referrals, sorting, compliance, regulation demand
Hybrid	social enforcement of rules, legitimacy, informal compliance	whether formal rules bind in practice

$$Y_{ifrt} = g(O_{rt}, M_{ifrt}, X_{ifrt})$$

- Object: law, contract regime, norm, network, hierarchy, family obligation, or belief system.
- Mechanism: incentives, bargaining, enforcement, information, trust, insurance, sorting, mobility, compliance.
- Outcome: wages, employment, hours, informality, migration, job access, contract form, inequality.

Mechanism map

Mechanism	Formal side	Informal side
Incentives	taxes, benefits, legal constraints	work norms, reciprocity, aspirations
Bargaining	dismissal rules, bargaining law	authority norms, status hierarchy
Compliance	inspections, courts, penalties	legitimacy, shame, network sanctions
Information	disclosure, contract rules	referrals, social learning, inherited beliefs
Insurance	UI, severance, social insurance	kinship, caste, community support
Mobility and sorting	licensing, contract boundaries	hierarchy, network lock-in, local status

- Freeman: labor-market institutions differ systematically across economies.
- Botero et al.: formal labor regulation can be coded and compared.
- Measurement is not the mechanism: an index must still be linked to wages, employment, adjustment, or inequality.
- Cross-country designs need caution about bundled institutions and omitted development paths.

- MacLeod: law and employment contracts shape what promises can be made credible.
- Statutes become labor-market constraints through courts, inspections, legal access, and administrative reach.
- The effective rule is not only what is written; it is what workers and firms expect to be enforced.
- This is the bridge to Week 2.

Culture as informal institution

- Culture includes beliefs about work, authority, mobility, unemployment, family obligation, status, trust, and regulation.
- Gender norms are one application, not the whole domain.
- Informal institutions affect labor supply, migration, referrals, compliance, bargaining, occupational allocation, and support for regulation.
- Guiso, Sapienza, and Zingales provide the broad culture-as-mechanism frame.

Family values and labor regulation

- Alesina, Algan, Cahuc, and Giuliano link family values to demand for labor regulation.
- Informal insurance and family support can substitute for or complement formal worker protection.
- Political support for regulation is itself a labor-market channel.
- Culture can shape formal rules, not only individual choices.

- Munshi and Rosenzweig: caste and community networks can insure workers and transmit job information.
- The same networks can discourage migration or occupational switching when exit weakens insurance.
- A rural-urban wage gap is not enough to predict mobility when informal institutions bind.
- Network benefits and network lock-in must be studied together.

Why informal institutions persist

- Families transmit beliefs about work, risk, status, care, and mobility.
- Networks create referrals and insurance that make exit costly.
- Employers reuse trusted channels because they reduce hiring uncertainty.
- Social sanctions and political preferences can outlast the formal rule that first created them.

Empirical strategies

Strategy	Institutional object	Labor outcome
Comparative measures	regulation, bargaining, enforcement	employment, inequality, adjustment
Legal variation	courts, inspections, contract rules	take-up, formality, wages
Historical persistence	norms, hierarchy, past institutions	mobility, sorting, regulation demand
Ancestry designs	inherited beliefs	labor supply, occupation, fertility
Network designs	referrals, insurance, community ties	migration, matching, wage gaps
Admin data	contracts, enforcement, workplace rules	incidence, compliance, sorting

- Reproduce: a synthetic inherited-norms and labor-outcomes factbook.
- Diagnose: classify each variable as institutional object, mechanism, or outcome.
- Transfer: apply the same logic to network insurance, migration, and wage gaps.
- The point is research design discipline, not official replication.

Bridge to Week 2

- Week 1 gives the full institutional map.
- Week 2 zooms in on labor law, employment contracts, enforcement, and state capacity.
- Central next question: when do statutes become effective workplace constraints?
- Later weeks return to culture, norms, hierarchy, persistence, and reform.

Takeaways

- Labor-market institutions include both formal rules and informal social structures.
- The same institution can change incentives, bargaining, compliance, information, insurance, sorting, and mobility.
- Culture is measurable and labor-relevant, but it must be connected to concrete mechanisms.
- Strong institutional labor research separates objects, mechanisms, outcomes, and counterfactuals.